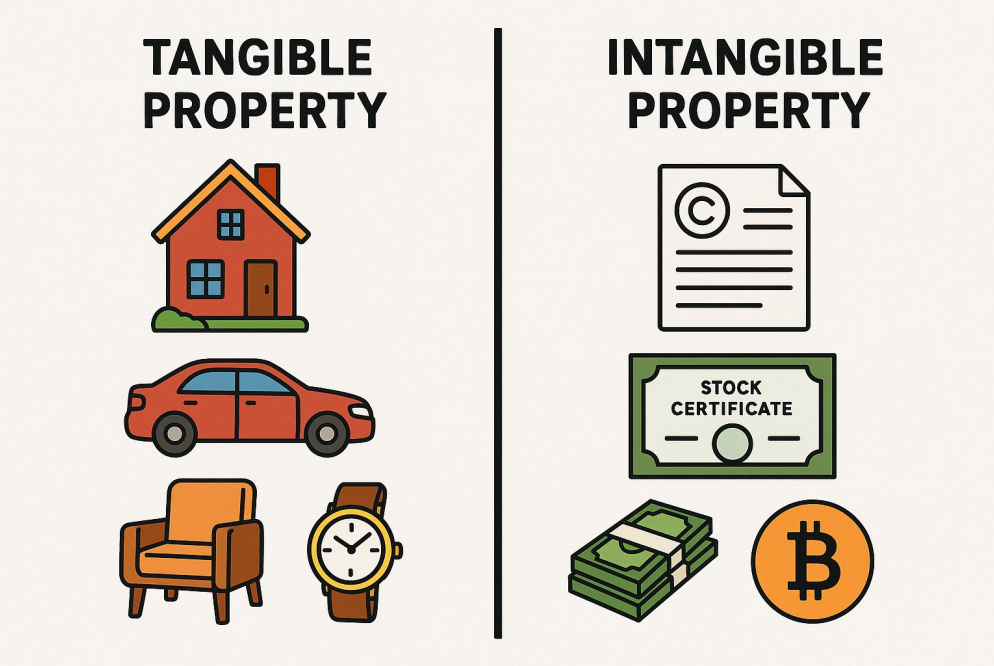
Free Trade

Advantages and disadvantages

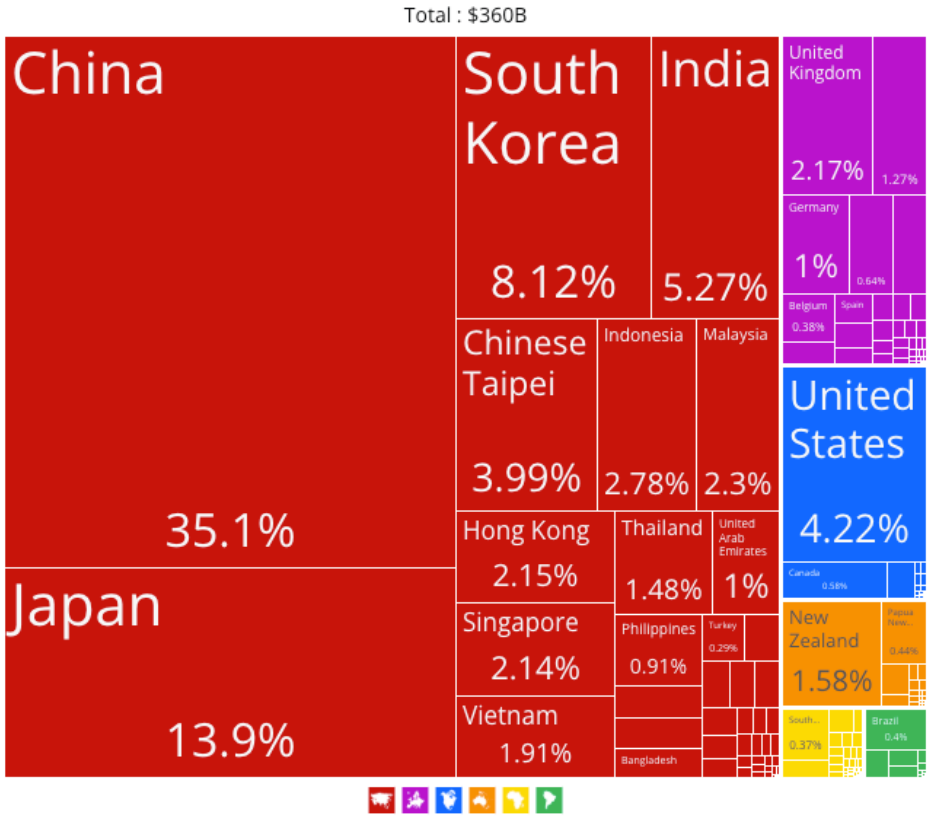


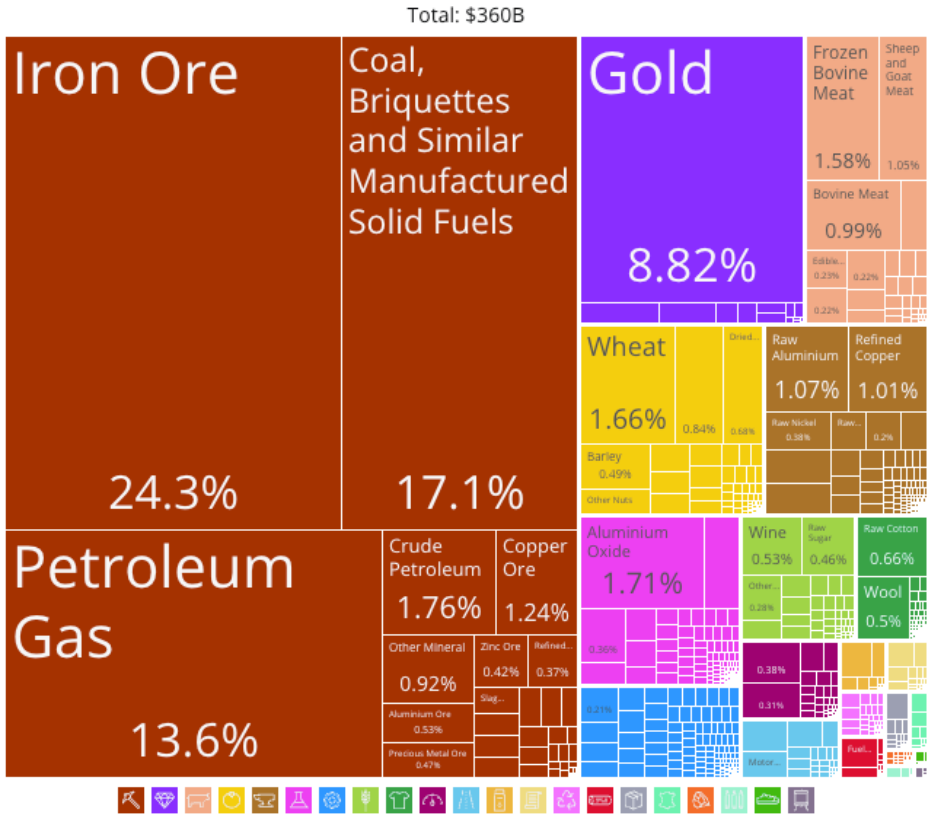
Goods and Services

- Goods are tangible products. (**Can** touch them) Eg iron ore, coal, LPNG, wool, wheat, sheep, beef etc.
- Services are intangible items that **can't** be touched but can be seen .Eg Education and Tourism

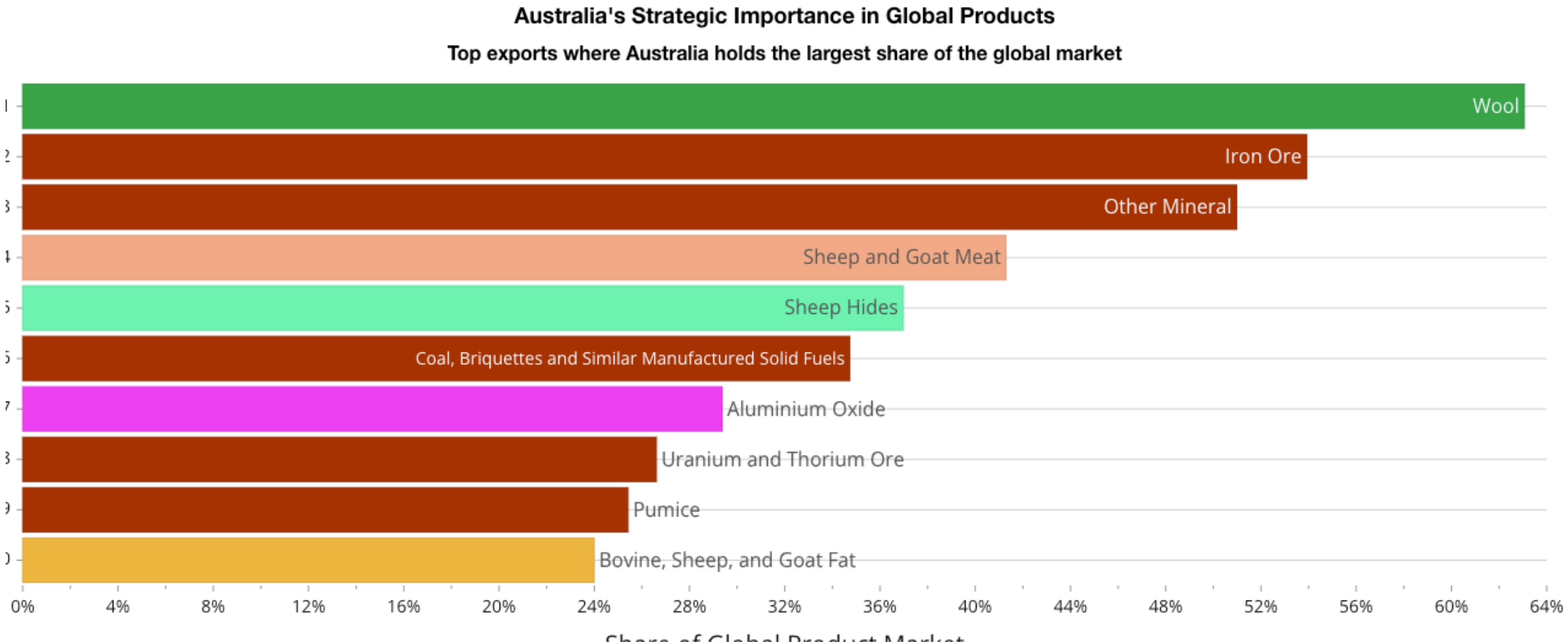


- **Exports(** X) are goods and services (G&S) that Australia <u>sells **to**</u> overseas (O.S) countries.



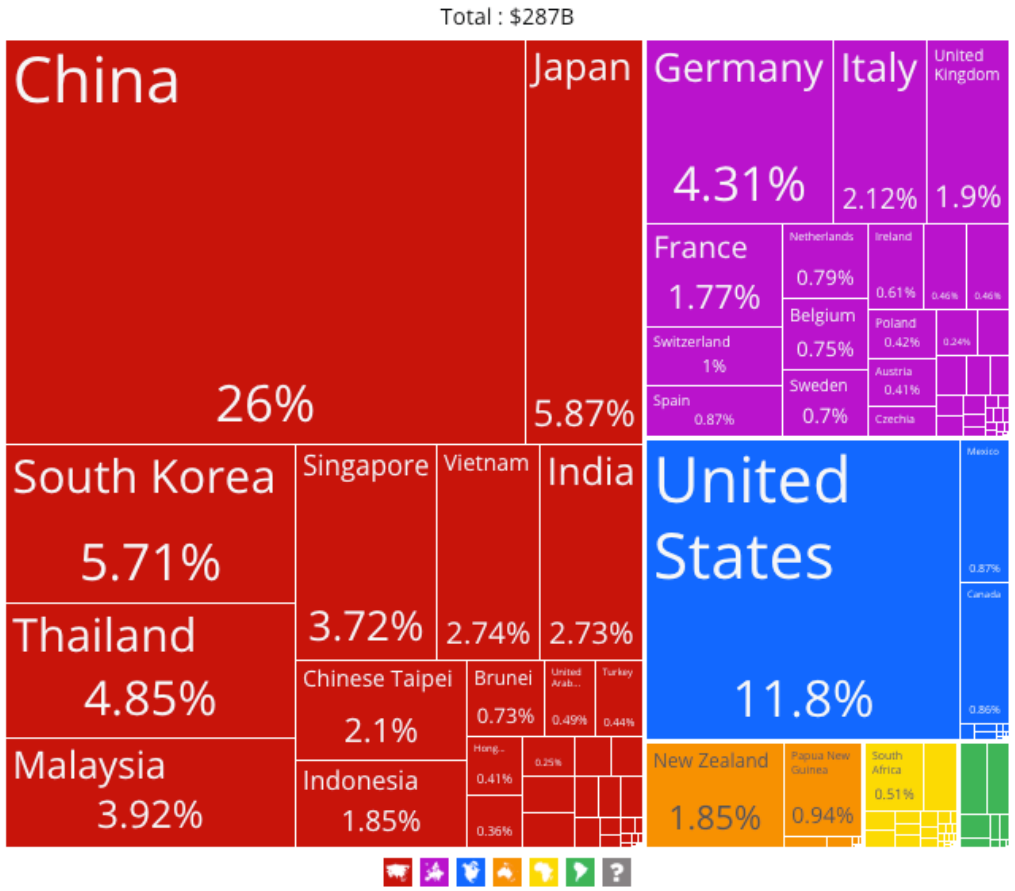


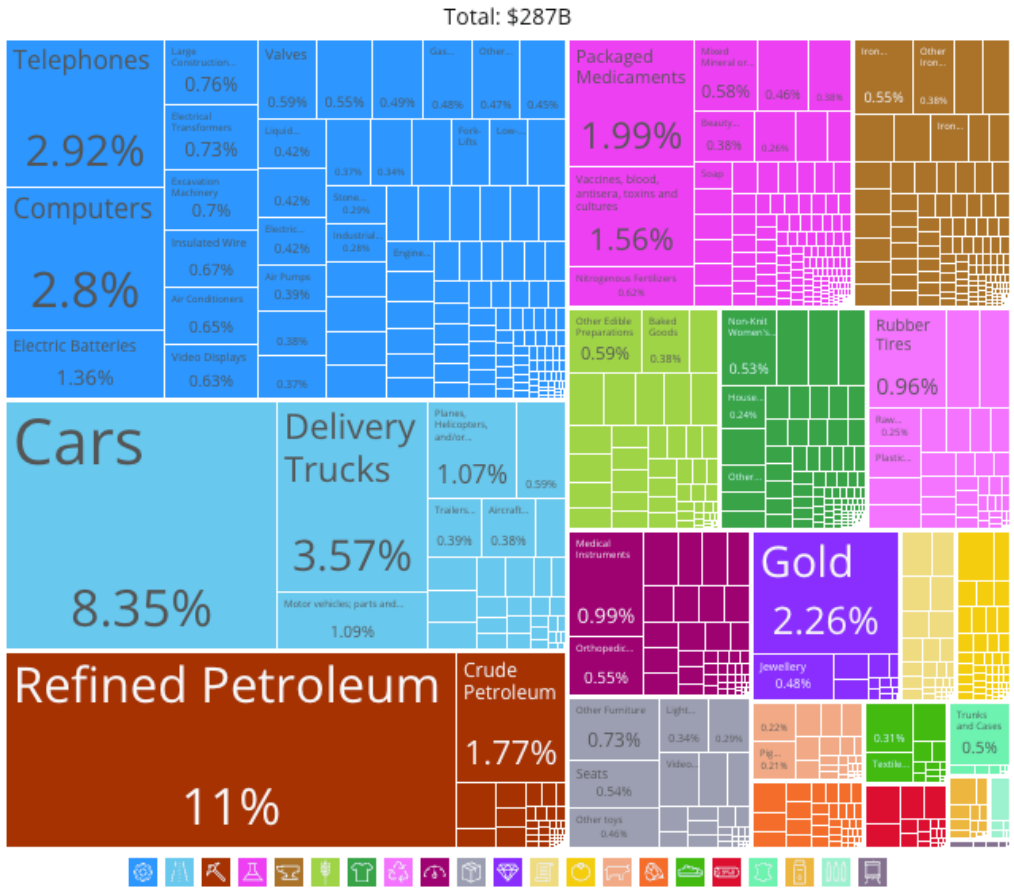
- What are Australia's 5 biggest Export items?
- What are the 5 biggest countries we export to?



- What is Australia's share of the following items?
  - Wool:
  - Iron Ore:
  - Coal:

- **Imports** (M) are goods and services that Australia buys **from** overseas countries.





- What are Australia's 5 biggest Import items?
- What are the 5 biggest countries we import from?

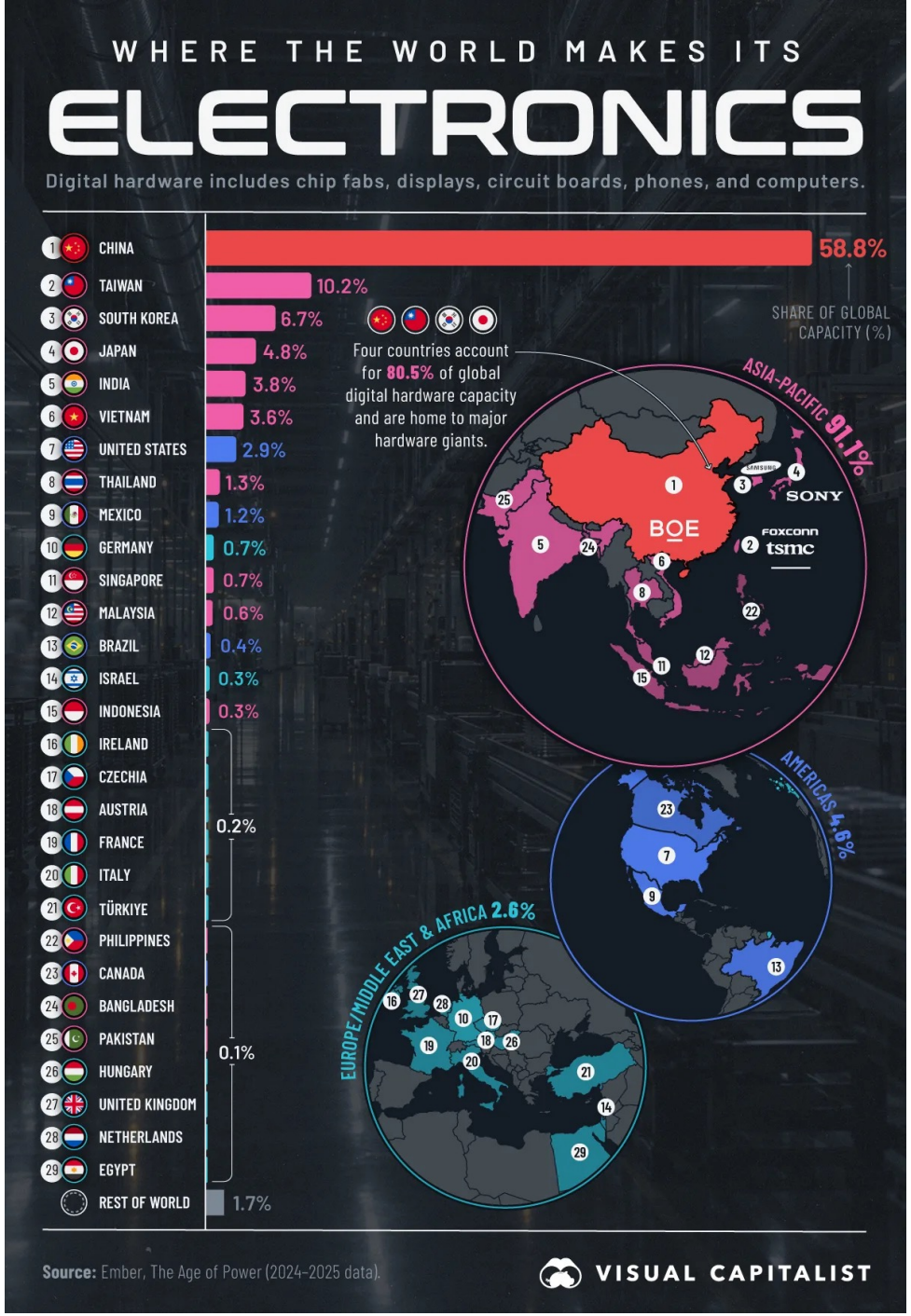
What is Free Trade?

- Definition: Free trade is an economic policy that allows the unrestricted import and export of goods and services between countries without artificial barriers such as tariffs, quotas, or subsidies



Advantages of free trade

- Allows countries to obtain G & S from OS, that they **cannot produce** themselves or in sufficient quantities to satisfy domestic demand.
- For example, Australia can import advanced electronics and computers that are manufactured in China, Taiwan, South Korea, Japan



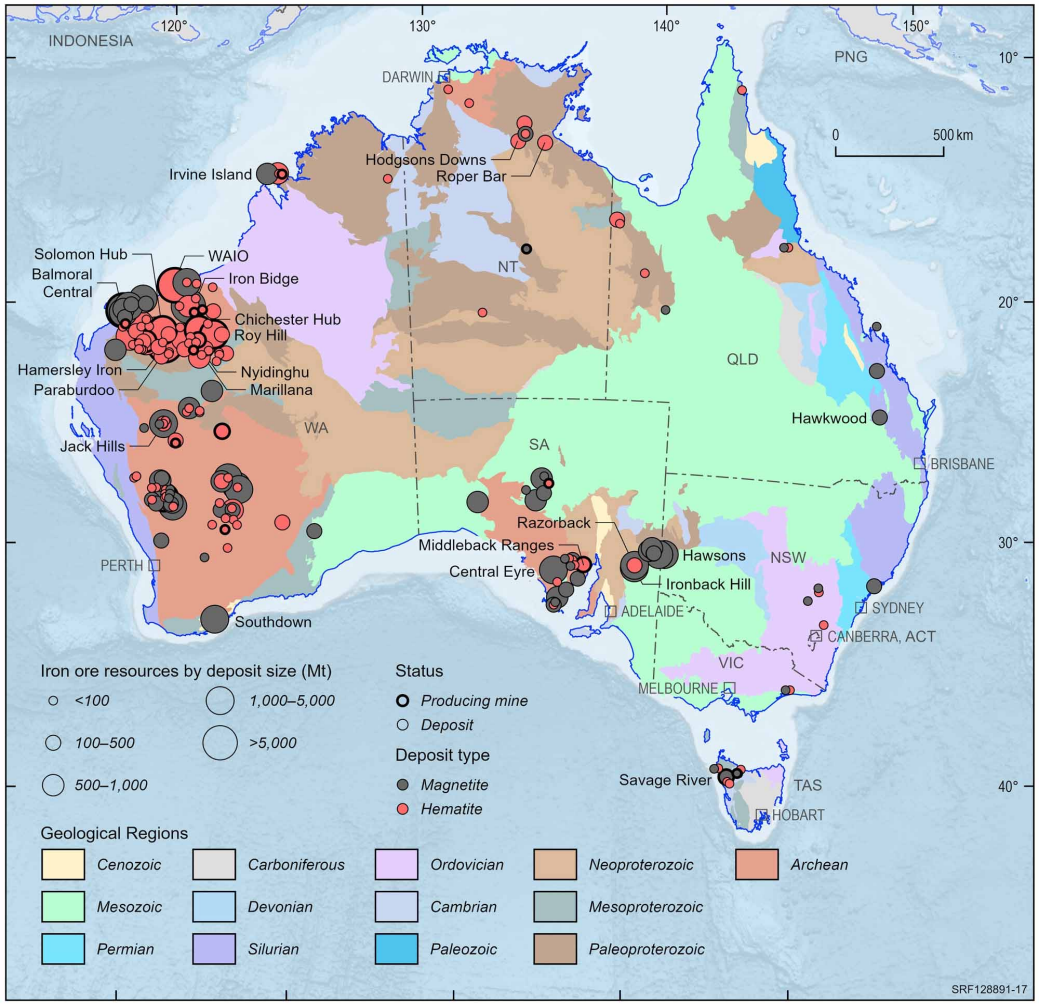
Advantages of free trade

Specialisation & Resource Allocation:

Enables countries to focus on producing goods where they are most efficient, improving global resource use.

Example: Australia specialising in iron ore mining and exporting it to foreign steel makers in China, South Korea and Japan.





Advantages of free trade

Decreasing Production Costs:

High-volume specialisation leads to economies of scale, lowering unit costs and boosting productivity.

Example: Taiwan mass-producing microchips to lower the individual cost of computer processors. This has helped reduced the cost of consumer items such as TVs

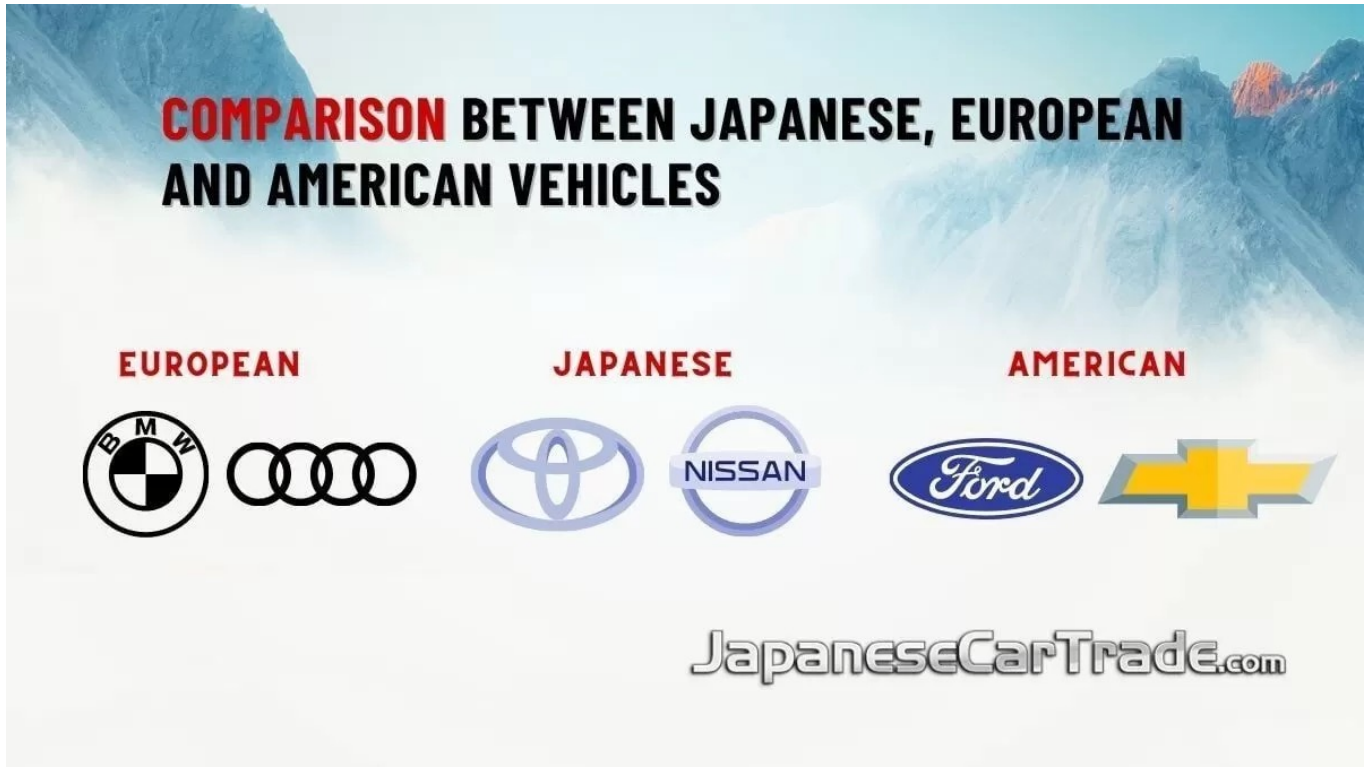


Advantages of free trade

International Competitiveness:

Removes tariffs and subsidies, forcing domestic businesses to compete directly with foreign companies.

Example: The United States opening its market to foreign cars, which forced American car companies like Ford and General Motors to improve fuel efficiency and quality to compete with Japanese imports like Toyota.



Advantages of free trade

Innovation & Technology Transfer:

Encourages the global spread of new technology, ideas, and "World's Best Practice" methods.

Example: Agricultural farms in Kenya adopting advanced drip-irrigation equipment imported from Israel to conserve water and increase crop yields in dry climates.



Advantages of free trade

Lower Prices & Consumer Choice:

Increases market supply and competition, driving down prices and raising standards of living.



Example: Supermarkets in Canada importing fresh produce like avocados and tomatoes from Mexico year-round, keeping grocery prices lower during freezing Canadian winters.





Advantages of free trade

Market Access for Developing Nations:

Allows developing nations to export crops to advanced economies without high tariff barriers.



Example:

Coffee farmers in Ethiopia exporting raw coffee beans directly to European markets (like Germany and France) without high import tax barriers.



Advantages of free trade

Long-Term Economic Growth:

Expands market reach, raising real incomes, employment, and global living standards over time.

Example: Chinas rapid economic expansion and poverty reduction after joining the World Trade Organisation in 2001





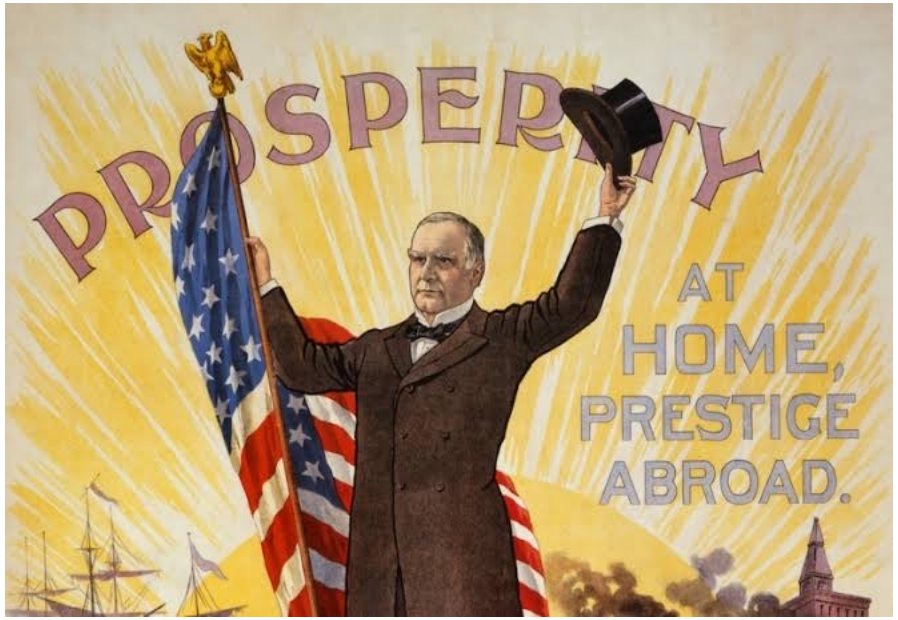
Question in your book:

1. What is ONE advantage of Free Trade? Us a specific example (not Australia)
    1. Pick **ONE of the advantages** and write a full sentence example
    2. Find a **statistic** to use as evidence in your answer
    3. Use the green sheet and our answers from Fast Fashion to help you

2. *Bonus:*
    1. Australia has specialized in iron ore mining and exporting, and is heavily reliant on the income it generates. **Who is our largest buyer, and why might this have advantages and disadvantages?**
    2. The government has recently announced the **Future Made in Australia** policy. What are its main goals, and what issues is it trying to address?

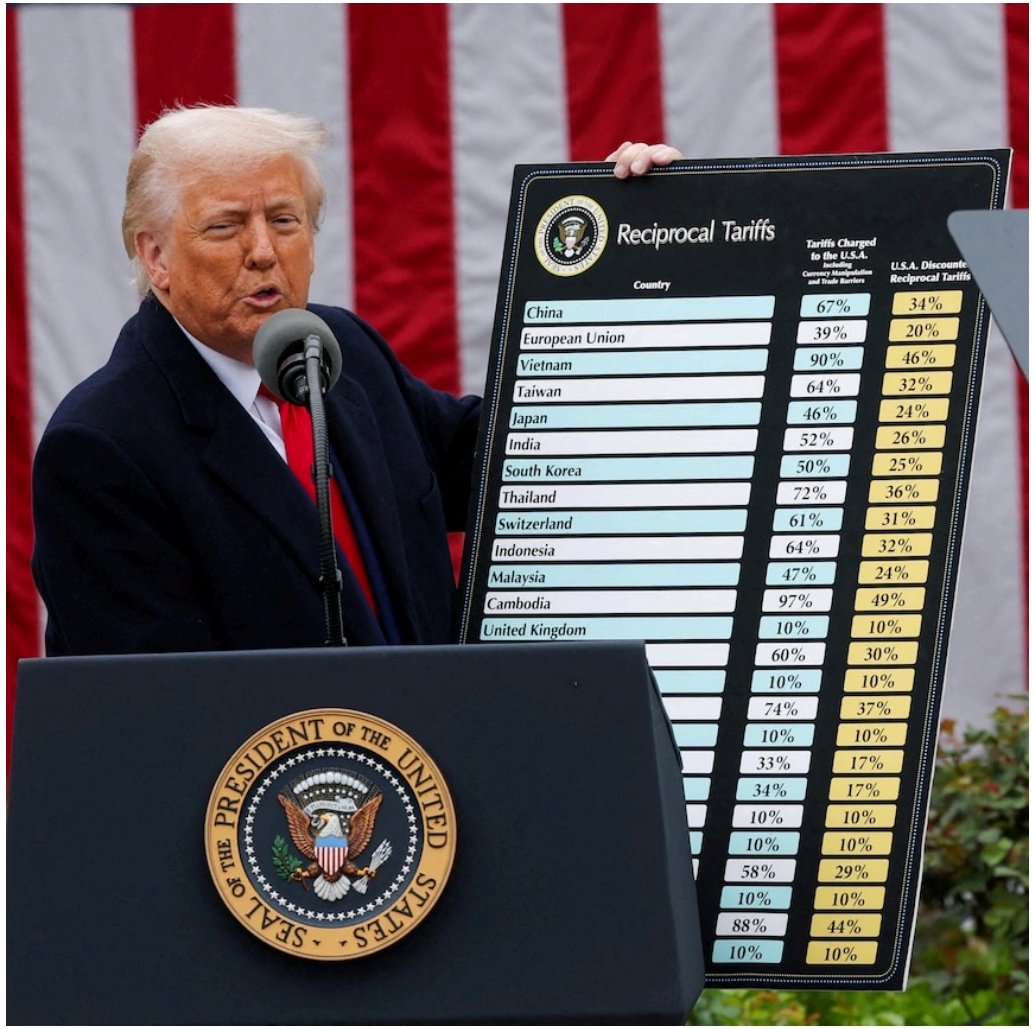
What is Protectionism?

- Definition: Protectionism is an economic policy that restricts international trade to shield domestic producers, businesses, and workers from foreign competition



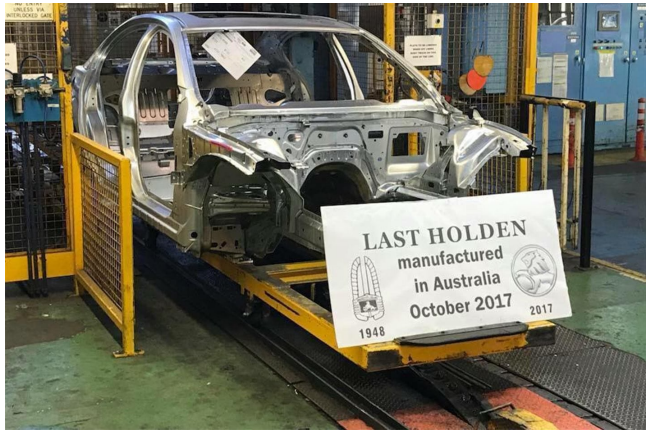
Trump Tariffs – anti Free Trade

- Trump has put in Tariffs on importing from certain countries
- His policy is meant to encourage people and businesses in the USA to buy **homemade goods and services,** by making it **more expensive** to buy from overseas
- This can have many advantages and disadvantages…



disadvantages of free trade

- **Domestic Job Losses**
- Local businesses that cannot compete with cheaper imports may close, causing unemployment. When manufacturing moves overseas to lower-cost countries, domestic workers lose their livelihoods and local communities suffer long-term economic decline.
- Example: In 2017, Holden closed its last manufacturing factory in Australia. As a consequence, Australia lost 7000 manufacturing jobs and no longer produces an iconic Australian car.





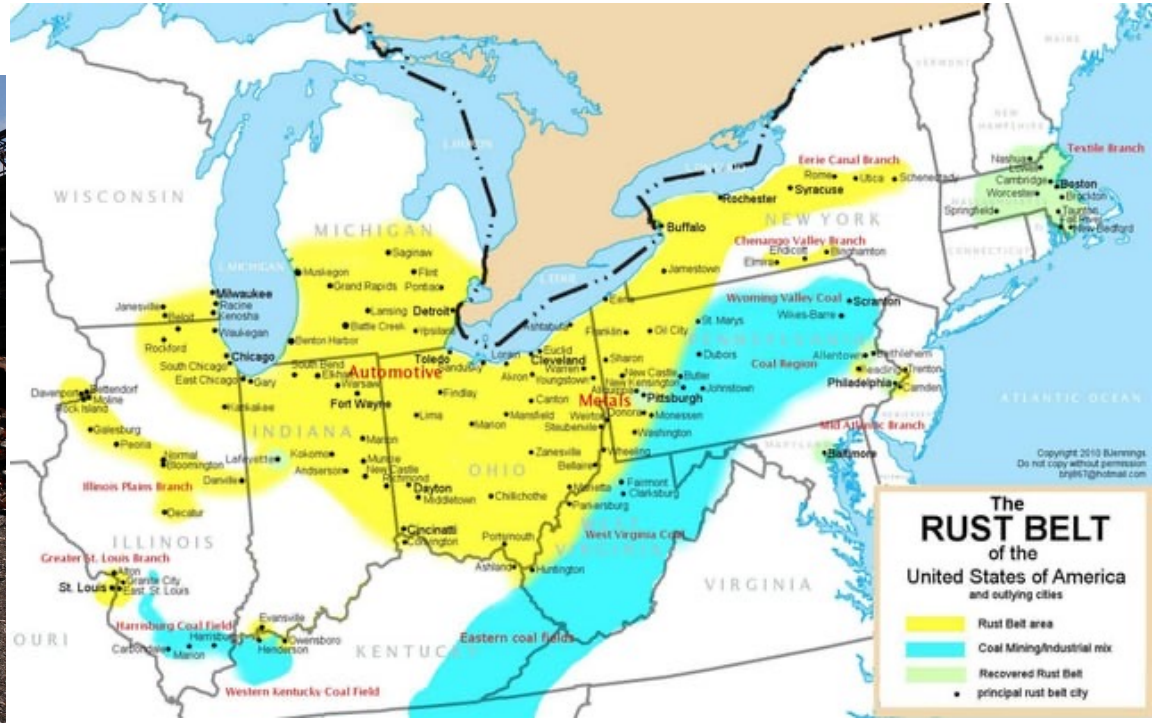




disadvantages of free trade

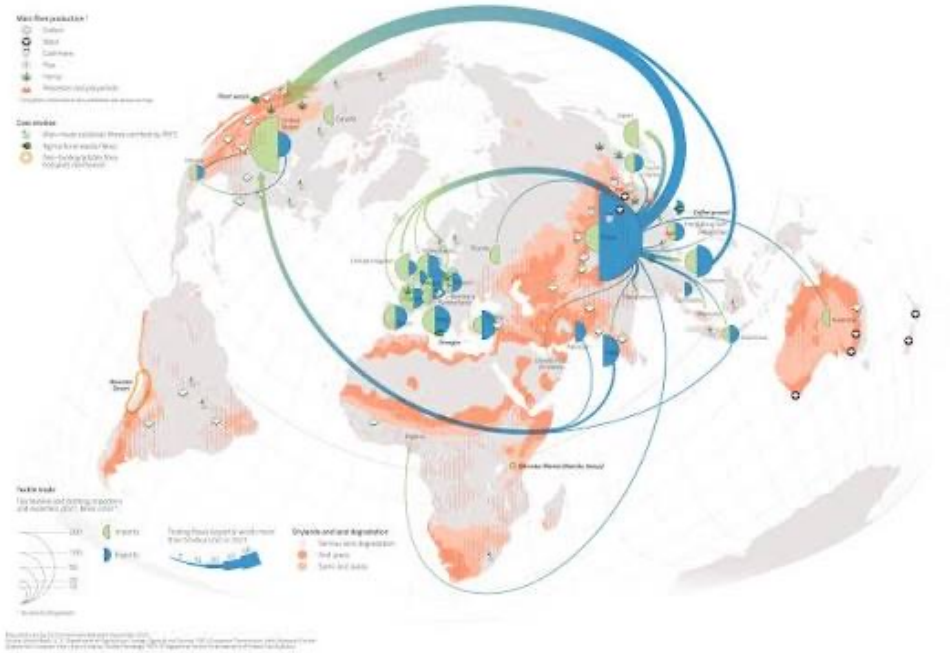
- **Domestic Job Losses**
- Example: in 1994 the North American Free Trade Agreement (NAFTA) was signed. American manufacturing companies moved production to Mexico to take advantage of significantly lower wages, cheaper operational costs, and weaker environmental regulations.
- Hundreds of thousands of factory jobs in automobile, steel, and textile production vanished from *Rust Belt towns* (such as Detroit and Flint) over a few decades as factories closed down.
- Long term impacts have included a rise in poverty, declining school systems and failing infrastructure





disadvantages of free trade

- **Labor Exploitation:**
- To keep export prices artificially low, global production often shifts to nations with weak labor laws, unsafe working conditions, and low minimum wages. Fast fashion and manufacturing companies frequently overwork and underpay vulnerable foreign workers to satisfy overseas consumer demand.
- Example: Garment factory workers in Bangladesh working up to 70 hours a week in unsafe conditions for extremely low wages to supply cheap fast fashion to Western consumers.

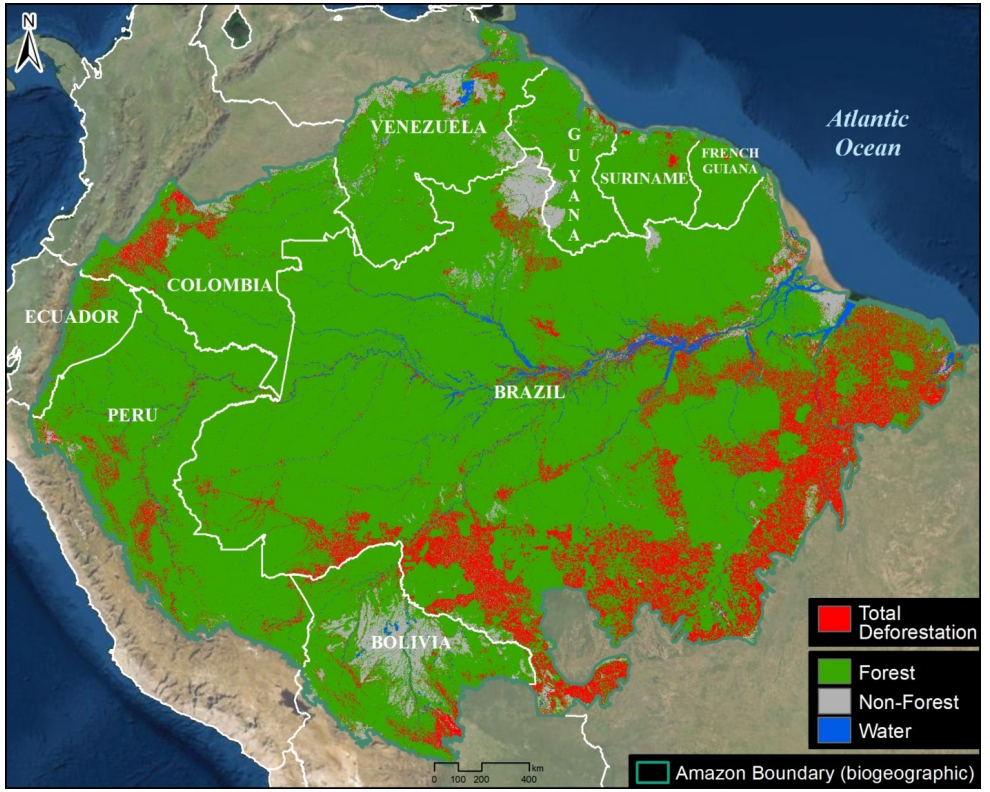




disadvantages of free trade

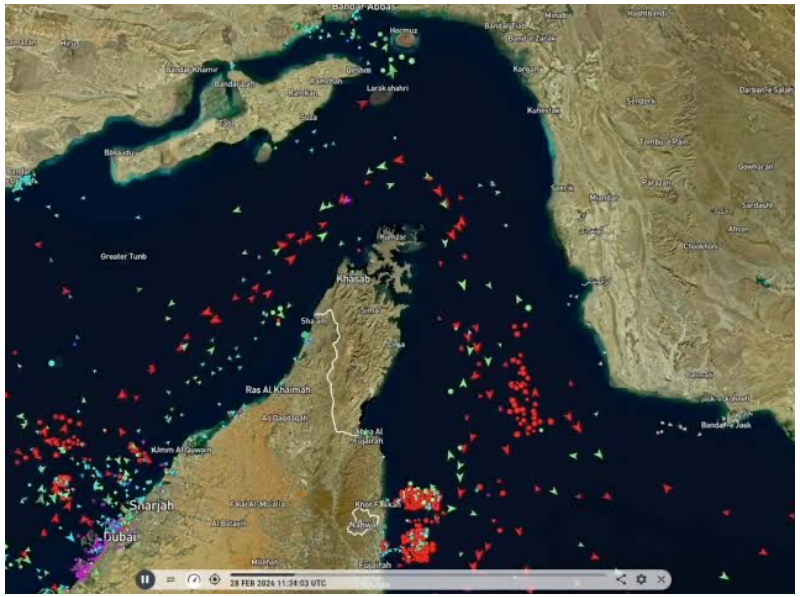
- **Environmental Degradation**
- Unrestricted global trade increases carbon emissions from international shipping and encourages excessive resource extraction in countries with lax environmental laws. Moving raw materials and finished products halfway around the world burns massive quantities of fossil fuels and damages fragile ecosystems.
- Example: Rapid deforestation of the Amazon rainforest in Brazil to clear land for cattle ranching and soybean farming to meet international export demand.

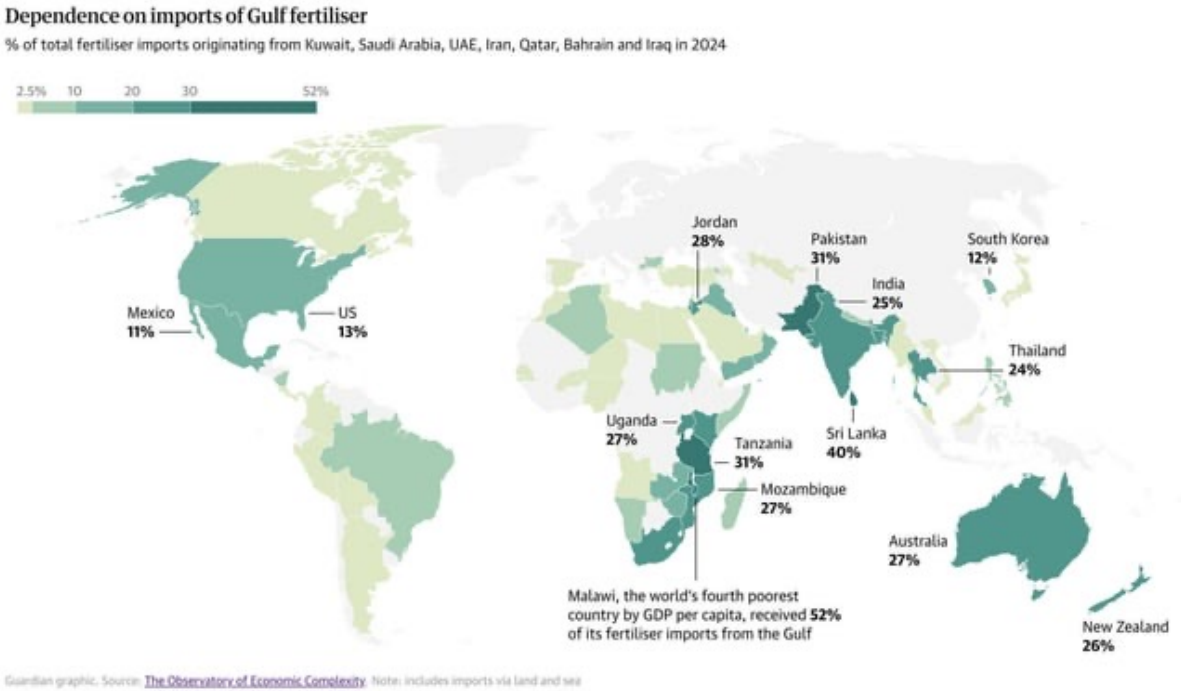




disadvantages of free trade

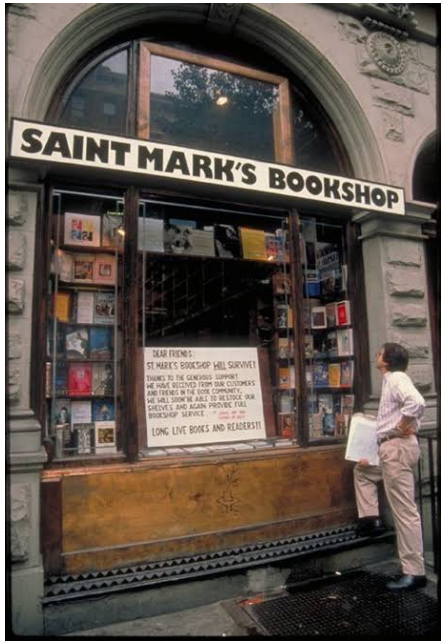
- **Economic Vulnerability**
- Over-relying on international trade leaves a country dependent on foreign suppliers for vital essentials like fuel, food, and medicine. If global supply chains are disrupted by military conflict or trade blockades, domestic economies face instant shortages and price spikes.
- Example: The Strait of Hormuz was blocked in 2026 as a result of the US-Iran War. **Four out of Bangladesh's five main fertiliser production plants had to shut down entirely** due to a lack of gas feedstock, leaving local rice and vegetable farmers facing direct fertiliser shortages. This may have long term impacts on their food security.





disadvantages of free trade

- **Stifling "Infant" Industries**
- Small, newly formed, or independent local businesses struggle to survive when forced to compete directly against giant Transnational Corporations (TNCs). Because TNCs possess massive budgets, global supply chains, and economies of scale, they can easily undercut local pricing and crush domestic competitors.
- Example: The rapid rise of Amazon caused hundreds of small, local bookstores to go out of business as they struggled to compete against the large TNC. Iconic bookstores such as Cody's Books in Berkley and St Marks Bookshop in NYC closed in recent years.



amazon



Question in your book:

1. What is ONE disadvantage of Free Trade? Use a specific example (not Australia)
    1. Pick **ONE of the advantages** and write a full sentence example
    2. Find a **statistic** to use as evidence in your answer
    3. Use the green sheet and our answers from Fast Fashion to help you

2. *Bonus:*
    1. Research a TNC. Identify **one specific environmental or human rights impact** caused by its global operations in a developing country. Provide specific data, dates, or worker conditions from your research to back up your findings
    2. Find a recent real-world example of a global supply chain disruption. In 2–3 sentences, argue whether governments should continue relying on global free trade or if they should return to **"reshoring"** (producing essential goods like energy, food, and medicine locally within their own borders). Weigh up the trade-offs of both approaches